the legal changes made after 1862 which removed many restrictions and allowed ‘great laxity of practice and a ruinous system of banking.’

The Presidency Banks Act of 1876 restored many of the old restrictions. It prohibited the banks from conducting foreign exchange business, borrowing or receiving deposits payable out of India, lending for a longer period than six months or upon mortgage or on the security of immovable property or upon promissory notes bearing less than two independent names, or upon goods, unless the goods or titles to them were deposited with the bank as security. The government balances at the disposal of the banks were also limited. At the same time, government sold out their share holdings in the banks and ceased to appoint official Directors.

The only notable change in the long period which ensued till the amalgamation of the Presidency Banks into the Imperial Bank in 1921 was the increase, during the First World War, of government balances at the headquarters of Presidency Banks, the object being to ‘assist the money market in its periodic stringencies.’